COURSE

Pearson Edexcel International GCSE in Business (4BS1)

Market segmentation

Section 4 · 4.2 The market · 4.2.3 market segmentation

Revision for Section 4: each firm works it out on its own deals.

Class	Topic
Pearson Edexcel International GCSE Business (4BS1)	**Market segmentation**

THE LESSON

Setup					3 min
Round 1					Decisions 3 min · Deals 5 min · Topic tasks 4 min
Firm decisions	**Deals**	**Topic task 1**	**Topic task 2**		
Round 2					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions	**Deals**	**Topic task 3**	**Topic task 4**	**B2B deal**	
Round 3					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions	**Deals**	**Topic task 5**	**Topic task 6**	**B2B deal**	
Final questions					3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Share of the town.

Dealer’s market share, as a %?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Dealer’s sales, new	**77 cars**
Dealer’s sales, used	**16 cars**
All sales in the town	**300 cars**

METHOD

Market share = (new + used sales) ÷ all sales × 100

77 + 16 = 93; 93 ÷ 300 × 100 = 31%

Why: The dealer wins 31 of every 100 cars sold in the town.

Task 2

ROUND 1

Your market share fell from 20% to 15%, but you sold more cars.

Which two explain this?

PICK TWO

- ✔ **Rivals won more new buyers**
- ○ Rivals’ sales fell
- ○ The market shrank
- ✔ **The whole market grew faster**
- ○ You sold fewer cars

Why: Share is your sales over the market: the market grew faster than you.

Task 3

ROUND 2

Three dealers: their sales and their town's sales.

Order by market share, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **120 of 600 cars**
2. **300 of 2,000 cars**
3. **450 of 5,000 cars**

Why: Shares 20%, 15%, 9%: the most cars sold is the smallest share.

Task 4

ROUND 2

Revenue in one segment.

Dealer's revenue from this segment?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Town's car sales, a year	**£300,000**
Business buyers, % of sales	**25%**
Dealer's share of them	**10%**

METHOD

Revenue = town sales × segment % × dealer's share

25% × £300,000 = £75,000; × 10% = £7,500

Why: The segment is worth £75,000. The dealer takes 10% of it.

Task 5

ROUND 3

You are a small dealer. Six big dealers chase every buyer; no rival targets young drivers.

Which should you choose, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Focus on young drivers**
- ○ Sell to every buyer

Why: A small firm does best in a segment rivals ignore.

Task 6

ROUND 3

Two years compared.

Dealer's share change, in % points? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Dealer's sales, last year	**49 cars**
All sales, last year	**700 cars**
Dealer's sales, this year	**198 cars**
All sales, this year	**1100 cars**

METHOD

Change = this year's share – last year's share (sales ÷ all sales)

49 ÷ 700 = 7%; 198 ÷ 1100 = 18%; 18 − 7 = 11 points

Why: The share went from 7% to 18%.

Final questions

6
questions for each pupil

159
Level 2 Business questions

14
of them on market segmentation

The game draws 6 of the 159 Level 2 questions; these 14 are about market segmentation.

1 A dealer sells 24 of the 120 used vans sold in its regional market. What is its unit market share?
20%.

2 A fleet dealer supplies 30 vans and has a 15% unit market share. What is the total number of vans sold in that market?
200 vans.

3 After a recall a dealer's sales fall from 24 to 18 cars in a 120-car local market. By how many percentage points does market share fall?
5 percentage points.

4 A dealer targets first-time drivers aged 17–24. Which segmentation basis is used?
Demographic segmentation by age.

5 A winter-tyre campaign is shown only to customers in colder northern areas. Which segmentation basis is this?
Geographic segmentation.

6 A dealership targets a premium service plan at customers in a high-income bracket. Which segmentation basis is used?
Income.

7 A small dealer specialises only in rare classic rally cars. Which market approach is this?
Niche marketing.

Final questions

8 A national chain offers a standard low-cost vehicle check to a very broad audience. Which approach is this?

Mass marketing.

9 You have 36 sales in a 240-vehicle market. With the market unchanged, how many more sales reach a 20% unit market share?

12 vehicles.

10 Research shows families value boot space while city commuters value easy parking. What should Sales do?

Tailor the message to each group.

11 A dealership sells 45 of the 300 used cars sold in its town during one month. What is its unit market share?

15%.

12 Segmentation means splitting customers into groups with different wants, each given a suitable offer. A dealer offers families, taxi firms and delivery firms different ranges. What is it doing?

Segmenting: customers in groups, each with a different offer.

13 Market share = business sales ÷ total market sales × 100. A town sells 250 used cars a month; one dealer sells 45. Using the formula, what is its share?

18%.

14 Market size is the total sales of every business in the market. Three dealers, the only ones in town, sold £180,000, £145,000 and £95,000. What is the market size?

£420,000.